Discount = ₹14

Market value of a share = 100 – 14 = ₹86
[face value – discount]

Market value of 500 shares = Number of shares × market value of a share

= 500 × 86 = 43,000

Market value of 500 shares = ₹43,000

Example 7.13

A person buys 20 shares of par value of ₹10 of a company which pays 9% dividend at such a price that he gets 12% on his money. Find the market value of a share.

Solution:

Face value of a share = ₹10

Face value of 20 shares = ₹200

Dividend = $\frac{9}{100} \times 200 = ₹18$

$\left[S.I = \frac{PNR}{100}, N = 1\right]$

Investment = $\frac{18 \times 100}{1 \times 12} = ₹150$

$[P = \frac{100 \times SI}{N \times R}, \text{N} = 1]$

Market value of 20 shares = ₹150

The market value of one share = ₹$\frac{150}{20} = ₹7.50$

Example 7.14

If the dividend received from 10% of ₹25 shares is ₹2000. Find the number of shares.

Solution:

Let x be the number of shares.

Face value of 'x' shares = ₹25 x

Now $\frac{10}{100} \times 25x = ₹2{,}000$

$\Rightarrow x = \frac{2000 \times 100}{25 \times 10} = 800$

Hence the number of shares = 800

Example 7.15

Find the number of shares, which will give an annual income of ₹3,600 from 12% stock of face value ₹100.

Solution:

Let 'x' be the number of shares.

Face Value = ₹100

Face value of 'x' shares = ₹100x

$\frac{12}{100} \times 100x = ₹3600$

$12\,x = 3600 \Rightarrow x = 300$

Hence the number of shares = 300

Example 7.16

A man invest ₹96,000 on ₹100 shares at ₹80. If the company pays him 18% as dividend, find

(i) the number of shares he bought

(ii) the dividend

(iii) percentage of return.

Solution:

(i) Investment = ₹96,000

Face Value = ₹100

Market Value = ₹80

The number of shares bought

$= \frac{Investments}{M.V\ of\ one\ share}$

$= \frac{96{,}000}{80} = 1200$ shares

(ii) Total dividend

= No. of shares × Rate of dividend × Face value of a share

$= 1200 \times \frac{18}{100} \times 100 = ₹21{,}600$

(iii) Dividend on ₹ 96000 = ₹21600

Percentage of return = $\frac{21{,}600}{96{,}000} \times 100$

$= \frac{45}{2} = 22.5$

Thus return on the shares = 22.5%

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